

networks.

Expeditors International of Washington, Inc. (ticker symbol: EXPD), founded in Seattle in 1979, helps shippers organize and track the movement of goods around the world.

Exodus Communications, Inc. (ticker symbol: EXDS) hosts and manages websites for corporate customers, along with other Internet services; it first sold shares to the public in March 1998.

This table summarizes the price, performance, and valuation of these companies as of year-end 1999:

FIGURE 13-1 E-valuations

	Emerson Electric	EMC Corp.	Exodus Communications, Inc.	Expeditors International of Washington
Capitalization				
Closing price, 12/31/99, \$ per share	57.37	54.62	44.41	21.68
Total return, 1999 (%)	-3.1	157.1	105.8	109.1
Total market cap, 12/31/99, \$ millions	24845.9	111054.3	14358.4	2218.8
Total debt (including preferred stock), \$ millions	4600.1	27.1	2555.7	0
Earnings				
Total revenues, 1999, \$ millions	14385.8	6715.6	242.1	1444.6
Net income, 1999, \$ millions	1313.6	1010.6	-130.3	59.2
Earnings growth, 1995 through 1999 (average annual %)	7.7	28.8	NM	19.8
Earnings per share (EPS), 1999 (\$ fully diluted)	3.00	0.53	-0.38	0.55
EPS growth rate, 1995-1999 (average annual %)	8.3	28.8	NM	25.8
Annual dividend (\$ per share), 1999	1.30	0	0	0.08
Balance sheet				
Current assets, \$ millions	5124.4	4320.4	1093.2	402.7
Current liabilities, \$ millions	4590.4	1397.9	150.6	253.1
Book value per share (\$ 12/31/99)	14.27	2.38	0.05	2.79
Valuation				
Price/earnings ratio (x)	17.7	103.1	NM	39.4
Price/book value (x)	3.7	22.9	888.1	7.8
Net income/revenues	9.2	17.4	NM	4.1
(% net profit margin)	21.0	22.2	NM	19.7
Net income/book value (%)	0.1	107.8	0.4	no debt
Working capital/debt (x)	1.7	16.5	59.3	1.5
Market cap/revenues (x)				

Sources: Value Line, Thomson/Baseline, Bloomberg, finance.yahoo.com, the companies' SEC filings.
 Notes: All figures adjusted for later stock splits. Debt, revenue, and earnings are for fiscal years. Market cap: total value of common stock.
 NM: not meaningful.

Electric, Not Electrifying

The most expensive of Graham's four stocks, Emerson Electric, ended up as the cheapest in our updated group. With its base in Old Economy industries,